CONSOLIDATION OF CONTRACT REQUIREMENTS DETERMINATION
FOR *Craney Island Mosquito and Herbicide Treatment*
(As prescribed by FAR 7.107-2 and AFARS 5107.107-2)

RATIONALE

1. Consolidation may provide substantial benefits to the Government. However, because of the potential impact on small business participation, before conducting an acquisition that is a consolidation of requirements with an estimated total dollar value exceeding $2 million, a written determination shall be made that the consolidation is necessary and justified in accordance with 15 U.S.C. 657q, after ensuring that--

(a) Market research has been conducted;

(b) Any alternative contracting approaches that would involve a lesser degree of consolidation have been identified;

(c) The determination is coordinated with the agency's Office of Small Disadvantaged Business Utilization or the Office of Small Business Programs;

(d) Any negative impact by the acquisition strategy on contracting with small business concerns has been identified; and

(e) Steps are taken to include small business concerns in the acquisition strategy.

2. Introduction. The U.S. Army Corps of Engineers–Norfolk (NAO) plans to solicit offers for *Craney Island Mosquito and Herbicide Treatment, Portsmouth, Virginia,* and has conducted market research that demonstrates consolidation of this procurement is both necessary and justified.

FAR 2.101 defines consolidation as

(1) a solicitation for a single contract, a multiple-award contract, a task order, or a delivery order to satisfy –

(i) two or more requirements of the Federal agency for supplies or services that have been provided to or performed for the Federal agency under two or more separate contracts, each of which was lower in cost than the total cost of the contract for which offers are solicited; or

(ii) requirements of the Federal agency for construction projects to be performed at two or more discrete sites; or;

(2) separate contract as used in this definition, means a contract that has been performed by any business, including small and other than small business concerns.

3. Description of the Procurement Action.

A. **Project Description.** NAO is seeking eligible firms capable of performing Aerial Mosquito and Herbicide Treatment at CIDMMA in Portsmouth, Virginia. The intent of this requirement is turn-key ordering of mosquito and herbicide treatment with a four day turn around on mosquito treatment requests. As such, the contractor will be expected to obtain all legally required permits, licenses etc., obtain and maintain all chemicals and equipment, and coordinate their own airport or landing area to conduct operations.

Under no circumstances will the contractor be permitted to operate on the site – this includes but is not limited to aircraft takeoff, landing, chemical mix and/or transfer, and refueling. Unmanned aircrafts (i.e., drones) launching/landing is acceptable onsite.

Aerial Application of Mosquito Treatment will include the following chemicals:

- Bacillus thuringiensis (Bti) granular larvicide at the rate of 20 pounds per acre with an average area of 600 acres per treatment occurrence.
- Bacillus thuringiensis (Bti) liquid larvicide at the rate of 2 pints per acre with an average area of 600 acres per treatment occurrence.
- Undiluted Naled (Trumpet EC) in ultra-low volume dosage of 0.75 fluid ounces per acre with treatment area of 3,300 acres.

Aerial Application of Herbicide Treatment will include:

- The application of Habitat (or chemical equivalent) herbicide at the rate of 6 pints per acre as directed by the Contracting Officer Representative. This will be a single treatment up to 750 acres, with a minimum of 250 acres, between the dates of 1 September and 30 November for the base year and each option year.

The period of performance will be a base year with four (4) option years. The total estimated value of the acquisition is [redacted] over all five (5) years. The applicable North American Industry Classification System (NAICS) code is 561710, Exterminating and Pest Control Services, with a size standard of $17.5 million.

B. **Acquisition Strategy/Procurement Summary.** NAO intends to award a single contract for mosquito and herbicide treatment at Craney Island, Portsmouth, Virginia, via FAR part 14 Invitation for Bid, 100% set-aside for small business, due to the time-sensitive period of performance and relatively simple technical requirements.

A competed Invitation for Bid (IFB) typically requires 4–5 months to award. A competed Request for Proposal with negotiations via FAR part 15 typically requires 6–8 months to award. Simplified Acquisition Procedures (SAP) can provide an award within 2 months. SAP is preferred over an IFB or negotiated procurement for this time-sensitive requirement. The mosquito season requires aerial spraying at certain specific times throughout the year. The current contract ends 31 May 2026 and a new contract must be in place to prevent any lapse in service—which directly impacts the city of Portsmouth and its residents. Peak mosquito season occurs in mid to late summer and an inability to apply the necessary treatment will result in significant growth of larvae during that period. The risk of mosquito transmitted diseases will increase and negative publicity will be focused on the district if a contract is not in place to mitigate the growth of mosquitos.

These services are commercial and SAP is available via FAR Subpart 13.5, in conjunction with FAR part 12 (Acquisition of Commercial Products and Commercial Services). Although there is technical work required for this project, an extensive technical analysis and evaluation of the offerors' capabilities is not required, indicating that SAP may be appropriate. Furthermore, the importance of avoiding a lapse in services renders a lengthy procurement process an unattractive risk. Thus, SAP is the most appropriate acquisition strategy, in accordance with FAR parts 12 and 13.

C. **Applicability of Consolidation.** This requirement is a consolidation because it will satisfy two requirements for services that have been performed for NAO under two separate contracts, each of which was lower in cost than the total cost of the current requirement.

D. **Requirements Being Consolidated.** NAO has two requirements:

   i. A requirement to provide aerial mosquito treatment at the Craney Island Dredged Material Management Area (CIDMMA) located in Portsmouth, Virginia; and

   ii. A requirement to provide aerial herbicide treatment at the Craney Island Dredged Material Management Area (CIDMMA) located in Portsmouth, Virginia.

E. **Procurement History.** Historically these two (2) requirements have generated little interest.

Craney Island Mosquito Services				
Contract	**Sources Sought Responses**	**Quotes**	**Awardee**	**Amount**
W9123617P0007	NA	1	Crabbe Aviation, LLC	$86,952.00
W9123618P0008	NA	1	Crabbe Aviation, LLC	$84,084.00
W9123618P0009	NA	1	Crabbe Aviation, LLC	$74,850.00
W9123619P0005	NA	1	Helicopter Applicators, Inc.	$220,959.00
W9123620P5014	2	2	Eastern Aviation, LLC (formerly Crabbe Aviation, LLC)	$692,581.00
W9123623P5016	1	1	Eastern Aviation, LLC (formerly Crabbe Aviation, LLC)	$1,408,468.00

Craney Island Herbicide Services				
Contract	**Sources Sought Responses**	**Quotes**	**Awardee**	**Amount**
W9123618P0027	NA	2	Crabbe Aviation, LLC	$62,500.00
W9123619P0011	NA	1	Helicopter Applicators, Inc.	$57,375.00
W9123620P5036	2	2	Eastern Aviation, LLC (formerly Crabbe Aviation, LLC)	$253,500.00

Of the past nine (9) acquisitions, seven (7) were awarded to Eastern Aviation, LLC (formerly Crabbe Aviation, LLC). Only three (3) of the nine (9) had more than one quote.

F. **Rationale for Consolidation.**

i. In accordance with applicable statutes and regulations 15 U.S.C. § 657q, FAR 7.107- 2, and AFARS 5107.170-2, in order to be determined necessary and justified, the benefits of the consolidated acquisition must substantially exceed the benefits that would be derived from alternative contracting approaches that involve a lesser degree of consolidation.

Such benefits may include qualitative or quantifiable cost savings or price reductions as well as other benefits, regardless of whether quantifiable in dollar amounts, to include quality improvements that will save time or improve or enhance performance or efficiency, reduction in acquisition cycle time, better terms or conditions, or any other supportable benefit. Benefits that are quantifiable are considered substantial if they meet the dollar amounts set forth in FAR 7.107-2(d).

Per FAR 7.107-2(d), benefits that are quantifiable in dollar amounts are substantial if individually, in combination, or in the aggregate the anticipated financial benefits are equivalent to ten percent of the estimated contract or order value (including options) if the value is $94 million or less.

If the quantifiable benefits do not meet these thresholds, the approving authority may determine that consolidation is necessary and justified if critical to the agency's mission success and the procurement strategy provides for maximum practicable participation by small business.

ii. Here, consolidation will minimize acquisition planning and contract execution costs, shorten contracting lead time, assure continuity of services, and minimize scheduling conflicts, thereby increasing the efficiency of the contract. Although the quantifiable benefits do not meet the threshold, this consolidation is necessary and justified because it is critical to NAO's mission and procuring via SAP provides for maximum practicable participation by small business.

4. Results of Market Research. NAO conducted extensive market research to determine the number and capabilities of firms interested in competing for this project. To ensure that small business concerns are given appropriate opportunities to participate as prime contractors and subcontractors in Federal procurements, NAO conducted market research that supplemented its knowledge of capabilities based on prior similar acquisitions.

A. **Sources Sought Notice and Response.** A Sources Sought Notice was posted on SAM.gov on 10 November 2025, closing on 01 December 2025. Four (4) firms responded, all of which are small businesses. The project manager evaluated the firms' capability statements and determined that all four (4) firms are technically capable. Two (2) Women-Owned Small Business that responded were found technically acceptable, which is enough to indicate there may be competition but the historically low interest indicates a more conservative approach may be appropriate.

In addition to asking for capability-related information, the contract specialist asked if the firms would be more or less interested if the project was solicited as two requirements (as it had historically been solicited). One firm did not address the question. The incumbent was equally interested whether it was solicited individually or consolidated. Two firms preferred a consolidated approach, with one firm specifying potential difficulties in scheduling with another company as the concern.

B. **Dynamic Small Business Search, Small Business Association (SBA).** A review of the Dynamic Small Business Search ("DSBS") was conducted on 13 November 2025. The contract specialist limited the search to firms in Virginia, Maryland, Delaware and North Carolina operating within NAICS Code 561710 with the keywords "aerial." This search yielded one (1) matching profile (Apex Aerial Solutions LLC, located in Arlington, Virginia). A second search, removing the geographic restriction and found eleven (11) matching profiles. However, we note that Eastern Aviation, LLC (the incumbent contractor) did not populate in the search despite being a small business. These results indicate there are few small businesses in the country who have the capabilities to perform work under the NAICS Code 561710. Although the results indicate 11 small businesses (and 4 VOSB/SDVOSB) may have the capability to perform, these businesses are spread across the country and there is no indication if they are able to perform here in Virginia.

C. **Effect on Small Business.** There would be likely little effect on small business if this is consolidated. Prior to consolidation, these two requirements received little attention, never receiving more than two responses for any given market research or solicitation period. Further, in each year that both requirements were solicited, the contracts were awarded to the same contractor—effectively consolidated.

   It is possible that there will be a greater number of small businesses that will bid on a consolidated requirement. The consolidated sources sought notice received twice as many responses as the previous requirements, with two firms specifically stating they were more interested in a consolidated requirement. This increased interest may result in more small businesses being awarded a contract, rather than the same small business being awarded the contract each time.

D. **Conclusion of Market Research.** The results from the DSBS indicate that there are a few small businesses that can possibly complete the work. The responses from the Sources Sought Notice demonstrate that there is some interest from small businesses. Per FAR 19.201(a), it is the policy of the Government to provide maximum practicable opportunities in its acquisitions to small business. Thus, a small business set aside is the best path forward to meet the policy goal of supporting small business while attracting enough competition to ensure a fair and reasonable price.

   Because two (2) Women-Owned Small Businesses responded to the Sources Sought and were found technically capable, the Contracting Officer considered setting aside the contract for the aforementioned socioeconomic category. Historically, those who respond to the sources sought do not always respond to the solicitation for one reason or another. The contracting officer considered the historical patterns for these types of procurements and determined a socioeconomic set-aside would not be the best procurement strategy to achieve competition. The risks associated with setting aside for a category that only received 2 responses—and do not translate to likely bids—are not outweighed by any potential benefit from setting it aside. These categories may still bid and be awarded the contract if the project is set aside for small business and USACE–NAO will still receive credit for that category if it is awarded to them.

   The market research indicated that keeping the requirements separated would likely not result in more contracts for small businesses. Further, consolidation would likely increase interest from small businesses.

5. Alternative Contracting Approaches and Rationale for Rejection.

a. **Alternative: No Consolidation – Two Stand-Alone Contracts.** NAO has previously procured this requirement as two separate contracts.

Cost Savings. Issuing two stand-alone contracts for each requirement does not yield any cost savings for either the contract planning and acquisition process or for the total awarded contract amount. The total estimated labor costs for all pre-award planning and acquisition activities and post award administration associated with a single requirement is approximately $50,000. Combining both requirements into a single contract has a negligible increase in labor costs and efforts, whereas separating each requirement into a stand-alone contract would double the costs and labor efforts for a total of approximately $100,000 to issue both contracts. As indicated by recent market research and historic acquisitions for these requirements, stand-alone contracts for a single requirement generates minimal interest, where a single incumbent bidder can set the price without competition. Consolidation will reduce labor costs and efforts to a single contract and would potentially result in more competitive bid pricing due to increased interest from industry.

Quality Improvement. Though this contract includes two separate requirements, one for aerial mosquito treatment, and one for aerial herbicide treatment, these requirements are technically very similar both in the equipment and materials used and in execution. Efficiencies are gained on a combined contract as both requirements are able to be performed with the same equipment and by the same contractor, and simplification of air space coordination with only one contractor as opposed to two. Potential efficiencies with stand-alone contracts are that some firms may be more familiar with aerial herbicide treatment than aerial mosquito treatment, though the application process, methods, and equipment is identical for both treatments. Market research indicates that firms within the aerial treatment industry are very familiar with herbicide and pesticide application, along with other treatment applications commonly used in agriculture. Both requirements, if solicited separately, would draw from the same small selection of capable firms as has occurred in the past.

Contract Administration. Two stand-alone contracts will have a greater level of effort for contract administration as compared to a combined contract. Potential advantages to separate contracts may include the ability of the Government to not award option years for one requirement should the needs at Craney Island change, while keeping the contract for the other requirement active, though the same can be accomplished with a combined contract. Additionally, the requirements for mosquito treatment typically span the entire treatment season from June through November, requiring continued administration support the entire time. Herbicide treatment requirements are performed once per year requiring a fraction of the direct administration efforts compared to the mosquito requirements, but the contract award and closeout processes would be duplicated under two separate contracts which have historically been awarded to the same contractor.

Acquisition Cycle. Another potential advantage to awarding two separate contracts is a potential for increased competition and awarding more contracts to small businesses. But the procurement history and market research show a different reality. Every time the requirements have been solicited in the same year, they are awarded to the same contractor. Further, two contractors specifically wrote of their preference for a consolidated requirement.

b. **Summary.** The decision to pursue a combined contract for both aerial mosquito and herbicide treatments are primarily due to the technical requirements as well as simplification of contract acquisition and administration. Technically, the two requirements are nearly identical as both involve the aerial application of treatments at Craney Island. A firm capable of performing one type of aerial treatment application will be capable of performing the other with the same equipment, and thus both requirements on a single contract makes logical sense from a technical perspective. A combined contract also reduces acquisition and administration costs and efforts significantly for an approximate savings of $50,000.

6. Consolidation Benefit Analysis.

In order to be determined necessary and justified, the benefits of consolidating contract requirements must substantially exceed the benefits derived from alternative contracting approaches that involve a lesser degree of consolidation. Benefits set forth in FAR 7.107-2(c) may include quantifiable cost savings or price reductions as well as other benefits, regardless of whether quantifiable in dollar amounts, to include quality improvements that save time or improve or enhance performance or efficiency, reduction in acquisition cycle time, better terms and conditions, or any other supportable benefit.

Cost. Per 15 U.S.C. 657q(2)(2)(B), "savings in administrative or personnel costs alone do not constitute a sufficient justification for a consolidation of contract requirements" unless the total amount of the cost savings is expected to be substantial in relation to the total cost of the procurement. Benefits that are quantifiable in dollar amounts are substantial if individually, in combination, or in the aggregate, the anticipated financial benefits are equivalent to (i) ten percent of the estimated contract or order value (including options) if the value is $94M or less; or (ii) five percent of the estimated contract or order value (including options) or $9.4M, whichever is greater, if the value exceeds $94M. Benefits that are not quantifiable in dollar amounts shall be identified and otherwise quantified to the extent feasible.

Typical contract acquisition and administration costs for these requirements are approximately $50,000 each with similar levels of effort required in preparation of the solicitation package, market research documentation, contract administration documentation, and closeout. The level of effort and cost associated with combining both requirements into a single contract is minimal, resulting in an estimated savings of approximately $50,000 with a combined contract.

Here, the estimated contract value is [redacted] The estimated quantifiable savings are $50,000.00. As this is [redacted] of the estimated cost, we must look to the secondary analysis.

If the expected benefits do not meet the thresholds for substantial benefit per FAR 7.107-2(d)(1), the benefits must be shown to be critical to the agency's mission success and the procurement strategy must provide for maximum practicable participation by small business.

Benefits Critical to Agency's Mission Success. There are several advantages to consolidation, including increased quality and efficiency based on the contractor's ability to perform without coordinating with another contractor, reduced acquisition cycle time, and cost savings due to reduced administration costs and increased competition. Advantages due the nature of the technical requirements are also considered in structuring the contract.

The annual treatment of mosquitos at Craney Island is critical as the site becomes a breeding ground for mosquitos during the summer months, greatly impacting the surrounding residential neighborhood in Portsmouth, VA. During periods of low dredging inflow activity, the need arises to control vegetation growth within the containment cells. The period of this contract will have a high need for herbicide treatment as dredging inflows will be minimal. Both treatments must be performed by use of aerial equipment and as indicated by historical solicitations and by market research, firms in the aerial treatment industry are capable of performing both requirements.

Air space availability and coordination with the Navy Flight Operations Tower are critical when operating aerial equipment over Craney Island and the project site is within the air space controlled by the Navy. Consolidation of both treatment requirements on a single contract would allow for improved coordination for use of the Naval airspace and limit conflicts.

Maximum Practicable Small Business Participation. This procurement strategy provides for maximum participation by small business. The requirement will be a total 100% set-aside for small business. Further, by consolidating the requirement, NAO is making the requirement more attractive to small business because the market research indicated that two small business firms preferred a single requirement (the other two firms expressed no preference). Historically when the requirements have been procured in the same year, they have been awarded to the same small business. Thus, consolidation does not harm the small business interest and will likely increase it through competition and bringing more small businesses into the process.

7. Bundling. Not Applicable as per below.

a. **Definition of Bundling**. FAR 2.101 defines bundling as subset of consolidation that combines two or more requirements for supplies or services, previously provided or performed under separate smaller contracts (see paragraph (2) of this definition), into a solicitation for a single contract, a multiple-award contract, or a task or delivery order that is likely to be unsuitable for award to a small business concern (even if it is suitable for award to a small business with a Small Business Teaming Arrangement) due to:
   i. The diversity, size, or specialized nature of the elements of the performance specified;
   ii. The aggregate dollar value of the anticipated award;
   iii. The geographical dispersion of the contract performance sites; or
   iv. Any combination of the factors described in paragraphs (1)(i), (ii), and (iii) of this definition.

b. **Applicability of FAR Bundling**. This acquisition does not meet the definition of bundling, as it does not attempt to consolidate two or more requirements for supplies or services, previously provided or performed under separate smaller contracts, that are likely to be unsuitable for award to a small business concern. The prior requirements <u>will</u> be suitable for award to a small business concern.

c. **Definition of the Competition in Contracting Act (CICA) Bundling Principle.** This principle, as developed by the Government Accountability Office (GAO) case law, focuses on whether the combined requirement (new, old, or otherwise) restricts competition, and whether the agency is consolidating or bundling a new requirement unnecessarily. In order to justify CICA Bundling the agency must show "a reasonable basis for why the bundling is necessary to meet the agency need." (Vantex Serv., Inc., B-29041 5, Aug. 8, 2002 and Outdoor Venture Corp., B-299675; B-299676, Jul. 19, 2007).

d. **Applicability of CICA Bundling Principle.** CICA Bundling is not applicable to this procurement. CICA requires solicitations to provide for full and open competition except where restrictions on competition are necessary to satisfy the procuring agency's needs. In such a case, restrictions on competition are allowed but only to the extent necessary to satisfy the agency's needs. Bundled procurements combine separate requirements into one contract; thus, they have the potential to restrict competition in violation of CICA by excluding firms that can provide only a portion of the bundled requirement.

Here, firms will not be excluded because they can only provide a portion of the requirements. The nature of the requirements (aerial spraying) indicates that firms that can perform one of the requirements can perform the other. Further, the market research shows that consolidation would actually increase competition here. In addition to receiving more responses from firms than any prior separate Sources Sought Notice, two of the firms expressed a preference for a consolidated requirement.

8. Considerations, Facts, Reasoning Supporting the Determination. The relative scale of the two requirements and technical details played a significant role in determination to combine both aerial mosquito and herbicide treatment into a single contract. Mosquito treatment season at Craney Island starts in June and runs through the beginning of November of each year. During that time, an average of 8 applications of either mosquito larvicide or adulticide occur, depending on weather conditions and dredge inflow activity at Craney Island. Mosquito treatment applications are frequent and time sensitive, requiring a quick four day turn around period from the initial request to the treatment application. Each year up to a maximum of 18,400 acres may receive treatment per the contract requirements.

The herbicide treatment requirement consists of a single, once per year application between 1 September and 30 November to control phragmites growth within the facility. Coverage for the one-time treatment is a maximum of 750 acres and has typically been performed within a single day. Herbicide treatments are non-time sensitive and can be performed within a three month window, typically towards the end of the mosquito treatment season when application rates are more infrequent, or after the treatment season has closed. The application of herbicide treatment utilized the same or similar equipment as is used for mosquito treatment depending on the contractor's operations and setup. The total level of effort for herbicide treatment is generally between 10 - 15% that of the effort involved in the mosquito treatment requirement and neither requirement impairs or limits the ability to perform the other requirement.

This Determination and the Market Research Report will be provided to the Small Business Deputy prior to submission of the DD2579. The DD2579 will be signed prior to solicitation.

9. Summary. This sole source contract consolidates two requirements previously procured separately. This approach provides the best solution to NAO's requirements because (1) it provides benefits critical to USACE-NAO's success through increased quality and efficiency based on the contractor's ability to perform without coordinating with another contractor, reduced acquisition cycle time, and cost savings due to reduced administration costs and increased competition; and (2) it provides maximum practicable participation by small business by making the requirement more attractive to small business. The findings of the market research and the documentation provided herein support the conclusion that consolidation of requirements is both necessary and justified, based on sound business judgment in view of the size, complexity, and number of efforts to be executed, and the consolidated approach provide advantages that substantially exceed the benefits of an approach that provides a lesser degree of consolidation.

The following signatures indicate concurrence with the contents of this document.

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Ian Uliana, Project Manager

LOCKARD.JOHN.RALPH.1044465643 Digitally signed by LOCKARD.JOHN.RALPH.1044465643 Date: 2026.02.03 10:04:26 -05'00'

John Lockard, Assistant District Counsel

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Cheryl Kunze, Deputy for Small Business Programs

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Tiffany N. Kirtsey, Contracting Officer

DETERMINATION

Based on the foregoing rationale, I hereby determine, pursuant to the Federal Acquisition Regulation Supplement 7.107-2 and Army Federal Acquisition Regulation Supplement 5107.107, that the consolidation of the requirements for *Craney Island Mosquito and Herbicide Treatment at, Portsmouth, Virginia,* is both necessary and justified and will serve the best interests of the Government.

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Ekaterina Oxley, District Contracting Chief

Attachments *(uploaded to Paper Contract File (PCF)):*

1) Market Research Documentation - MRR, CI Mosquito and Herbicide, 01052025.pdf
2) Sources Sought Response - [redacted] Response.doc
3) Sources Sought Response - [redacted] Response.pdf